

# World in Brief: Supreme Court limits Trump's agenda; American stock indexes rally



Photograph: AP

In a blow to Donald Trump's agenda, America's **Supreme Court** blocked an executive order that would have denied birthright citizenship to the children of undocumented migrants. Meanwhile, [the court](#) also ruled that state officials have the right to ban transgender athletes from competing in women's and girl's sports at universities and schools. The Trump administration supported the bans.

**American stock indexes** ended the second quarter on fresh highs. The tech-heavy NASDAQ posted a quarterly gain of more than 21%, while the S&P 500 was up nearly 15%—each of their biggest such increases since 2020. Despite recent bouts of market volatility, led by fears over the valuation of [AI stocks](#), investors were reassured by strong tech earnings.

**Iran's** parliamentary speaker, Mohammad Bagher Ghalibaf, told state television that direct talks with **America** would not include discussions of a final deal until terms of the [memorandum of understanding](#) were fully met. He warned Iran was "prepared for war" if "dialogue is not implemented". Earlier **Qatar's** foreign

ministry said America's envoys would hold lower-level talks with Qatari mediators this week.

Meanwhile **Binyamin Netanyahu**, Israel's prime minister, asserted that his country's armed forces would not leave southern **Lebanon** until Hizbullah, [an Iran-backed militia](#) there, "is eliminated". Mr Netanyahu visited the occupied territory on Tuesday. Separately, America's House of Representatives failed to pass a war-powers resolution that would have required Congress to approve any American involvement in Israeli military operations in Lebanon.

**Britain's** government said it could ask antitrust regulators to investigate **Paramount's** takeover of **Warner Bros Discovery** because of concerns over its effect on competition in the media industry. Britain blocked Microsoft's acquisition of Activision Blizzard, a video-game maker, under the same rules in 2023, before changing its mind. America and China are among the countries that have already approved [Paramount's takeover](#).

America's Food and Drug Administration allowed some **Zyn nicotine pouches** to be marketed to adults as safer than cigarettes, by claiming their use carries a lower risk of diseases including lung cancer and heart disease. The smoke-free products, which are made by [Philip Morris International](#), a tobacco giant, were authorised for sale last year. They are the first nicotine pouches to receive the designation.

The **Vera C. Rubin Observatory**, a [huge telescope in Chile](#), began its survey of the universe. Over the next ten years, the Legacy Survey of Space and Time will scan the southern sky, collecting over 10 terabytes of data every night, producing the most detailed map of the cosmos in history. The international project will also alert researchers to exploding stars, asteroids and other cosmic objects.

**Figure of the day:** \$9bn, the value of Chinese divestments from American renewables since 2025. [Read about how](#) Donald Trump is chasing Chinese firms out of the country.

# Trump's faltering plan for Gaza



Photograph: Getty Images

Donald Trump's Board of Peace for Gaza meets on Tuesday in Cyprus to assess the situation in the strip, nearly nine months after the ceasefire between Israel and Hamas. Mr Trump's much vaunted attempt to replace the United Nations has little to show for itself. Israel still occupies most of the strip; more than a thousand Gazans have been killed since the ceasefire began. Hamas remains entrenched and armed. Urgently needed reconstruction has yet to begin.

There have been some minor developments, such as the appointment of a Palestinian technocratic administration (its members are still stuck in Cairo), an agreement by a handful of countries to send troops to the enclave as part of an international security force, and an Emirati pledge to rebuild neighbourhoods in southern Gaza. But those are yet to bring change on the ground. And not much else is likely to get done while Israel's government is preoccupied by an [election campaign](#), which is set to last until the winter.

## Nike's swoosh swoons



Photograph: Reuters

If popular adverts alone could make a brand successful, Nike, which reports earnings on Tuesday, would be a winner. The [American sportswear giant](#) kicked off the World Cup with a video featuring stars such as France's Kylian Mbappé and Portugal's Cristiano Ronaldo dribbling their way through elaborate film sets. The clip has 78m views on YouTube, ten times the number of a video by Adidas, a rival.

Yet behind such triumphs lie Nike's recent struggles. Its share price has been tumbling since February, when it warned investors to expect a 20% fall in sales in China, where competition among makers of footwear is fierce, in the fourth quarter. Worldwide, Nike's sales have declined in seven of the past eight quarters. [The World Cup](#) may interrupt the downward trend. But analysts will be scrutinising Nike's results for signs that its multi-year turnaround strategy will provide a more enduring boost to its fortunes. A viral video alone will not return Nike to winning ways.

## Just can't do it

Nike, share price, \$



Source: LSEG Workspace

# A prompt prognosis for China's economy



Photograph: Getty Images

Most countries have to wait until the first working day of the month for a purchasing-managers' index, a timely indicator of economic activity over the past month, based on surveys of procurement bosses in hundreds of firms. But China's speedy National Bureau of Statistics typically releases its [manufacturing PMI](#) before the month is even over.

The June reading, released on Tuesday, edged up to 50.3 out of 100. Although that is only a little above the 50 mark, which is supposed to represent the dividing line between expansion and contraction, such a reading has in the past correlated with robust growth in industrial production. The index also painted a brighter picture for input costs, which spiked after the start of the Iran war. The sub-index for the price of raw materials fell from 60.5 in May to 54.2 in June. The Chinese government gets its statistics out in a hurry. It would like peace talks in the Gulf to show similar urgency.

# Ukraine's North Korean captives



Photograph: AP

Ukraine's foreign minister, Andrii Sybiha, arrived in Seoul on Tuesday to meet Cho Hyun, his South Korean counterpart. They will talk about the fate of North Korean soldiers who were captured by Ukraine [while fighting for Russia](#). They are seeking asylum in South Korea, fearing that they will be tortured if they return to the North. In such cases, international human-rights law prohibits forced repatriation. The South Korean government has said the country will accept all North Korean prisoners-of-war.

North Korea's dictatorial regime sent more than 10,000 people to fight Ukraine in Russia's Kursk region. Thousands were killed. North Korean soldiers were instructed to "self-blast" on the battlefield to avoid capture. Russia has suggested that North Koreans should be included in its prisoner swaps with Ukraine. That would be a tempting offer, if Ukraine could get more of its soldiers back in return. But sending the North Koreans back to Russia would weaken international support for Ukraine. Odds are, the North Koreans will eventually head to the South.



# South Africa's intensifying anti-migrant violence



Photograph: Getty Images

Concern is growing in South Africa's government that [anti-migrant protests](#) will reach a violent climax on Tuesday. March and March, a vigilante group, has set the day as a “deadline” by which illegal immigrants must leave. It has also pledged to take to the streets again. The group's protests focus on poor urban areas. It goes door to door, asking Africans for proof of their immigration status. Many shops run by foreigners have been looted.

The vigilantes reflect—and exacerbate—xenophobia among the public. Polling suggests that growing numbers of South Africans say that immigrants take away jobs and cause crime (economists generally disagree). Anti-foreigner sentiment is being stoked by online activists and many politicians: UMkhonto weSizwe (MK), a party founded by Jacob Zuma, South Africa's former president, has expressed support for March and March's protests. The security services seem prepared for violence. Yet even if they contain damage on the day, South Africa's brand on the continent is tarnished.

# Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

**Tuesday:** Which actor played Roseanne Barr's husband in the sitcom Roseanne?

**Monday:** Which businessman, currently chief executive of Square, was a co-founder of Twitter?

*I cannot and will not cut my  
conscience to fit this year's  
fashions.*

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***Lillian Hellman***